

expenses, and to the two Receiver's Certificate Holders. The Court does not consider AX9's opposition.

After considering the replies, the original Motion, the opposition papers and objections, the Court finds good cause to make the following rulings and orders.

Ruling

- A. The Court finds that the objections made by Intervenor Patti O'Brien are an attempt to relitigate the propriety of the Receivership appointment, and as such, the objections are **overruled**.
- B. The Court finds that the Opposition by Creditor and Lien Claimant Global Asset Lien and Foreclosure LLC ("Global") are not supported by compelling legal authority for the proposition that its claim was not precluded and that it is entitled to an evidentiary hearing on the amount and priority of administration expenses. The Court finds Global agreed to lend funds in a subordinate position to the Receivership Estate's costs of administration. The record before the Court demonstrates that Global's certificate is junior to the Receiver's fees and expenses. Accordingly, any objections raised by Global are overruled and its request for relief are **denied**.
- C. The Receiver's Motion is **granted**. The Court will execute the proposed order lodged on December 18, 2025.

9. 9:00 AM CASE NUMBER: C24-01900
CASE NAME: NORRELL MACK VS. G LOGISTICS LLC
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**
FILED BY: MACK, NORRELL
TENTATIVE RULING:

Summary

Plaintiff Norrell Mack individually and on behalf of those similarly situated ("Plaintiff") moves for preliminary approval of their proposed class action settlement with Defendant G Logistics LLC ("Defendant") The motion is **granted**. No appearance is required at the hearing on May 20, 2026.

Background and Settlement Terms

The original complaint was filed on July 19, 2024 and amended on August 5, 2025, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code by failing to pay minimum wages, provide meal and rest breaks, provide accurate wage statements, expense reimbursement, among others, to delivery drivers working for Defendant. The Parties entered into a settlement agreement and now moves the Court to approve the settlement agreement and to enter the following orders:

1. preliminarily certifying the class for purposes of settlement only.
2. Preliminarily appointing Plaintiff as Class Representative for purposes of settlement only; .
3. Preliminarily appointing Kevin Lipeles, Esq., Thomas Schelly, Esq., and Jasmine Badawi, Esq. of Lipeles Law Group, APC, as Class Counsel for purposes of settlement only;
4. Preliminarily approving the settlement as fair, adequate, and reasonable, based upon the terms set forth in the parties' Class Action and PAGA Settlement Agreement and Class Notice

("Settlement Agreement"), including payment by G Logistics LLC, ("Defendant") of the Gross Settlement Amount of \$200,000.00;

5. Preliminarily approving a Class Representative Service Payment of \$10,000 to Plaintiff in recognition of his service to the Settlement Class;
6. Preliminarily approving Plaintiff's Counsel's request for up to \$70,000.00 (35%) of the Gross Settlement Amount as attorneys' fees;
7. Preliminarily approving Plaintiff's Counsel's request for actual costs from the Gross Settlement Amount in an amount up to \$13,500.00;
8. Appointing Phoenix Class Action Administration Solutions ("Phoenix") as the third-party Settlement Administrator for mailing notices and for claims administration, approving that a maximum of \$11,500.00 be deducted from the Gross Settlement Amount for the costs of administration, and approving that the fees and costs of the Settlement Administrator will be paid from the Gross Settlement Amount; and
9. Approving the proposed Class Notice and ordering it be disseminated to the Class as provided in the Settlement Agreement.

After the above costs and fees are deducted, the net settlement amount is \$82,000. Based on the class size, the average payment to each class member would be about \$110.22. The PAGA penalties are \$20,000. This includes a payment to the LWDA is \$13,000 and \$7,000 to the aggrieved employees as their individual PAGA payments.

The proposed settlement would certify a class of all current and former hourly employees. The class has about 744 potential members, who worked 21,134 workweeks and 455 aggrieved employees who worked a total of 6,513 PAGA pay periods. The matter was settled after an all-day mediation session with a mediator.

The settlement contains release language covering "all claims arising during the Class Period under state, federal, or local law, arising out of the claims pleaded in the Complaint on file in the action[...] claims based on alleged violations of these Labor Code and Wage Order provisions) and all other claims, such as those under the California Labor Code, Wage Orders, regulations, and/or other provisions of law, that could have been pleaded based on the facts asserted in the Action, including, but not limited to: (1) failure to timely pay employees upon separation or discharge; (2) failure to pay all wages due and owing for time worked; (3) all related violations of the applicable Wage Orders; (4) all related violations of California's unfair competition law; and (5) interest, fees, and costs[...]."

Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible."] *Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) Thus, it is important that the "Released Claims" includes only claims that could have been pleaded "based on the facts asserted in the Action."

Analyses

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and

adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney fees

Plaintiff seeks thirty-five percent of the total settlement amount as fees, relying on the “common fund” theory. This fee is higher than most claimed fees for similar actions, which are usually 33.3 percent of the total settlement. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

Similarly, litigation costs and the requested representative payment of \$10,000 for the representative plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

Ruling

1. The settlement is sufficiently fair, reasonable, and adequate to justify *preliminary* approval. It is therefore, preliminarily **granted**.
2. Counsel are directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk.
3. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week

before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b).

4. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorney's fees are to be withheld by the administrator until released by the Court after review of the compliance statement. The Court may issue a release through an unreported minute order without a hearing on the compliance statement.
5. No appearance is required at the May 20, 2026 hearing.

10. 9:00 AM CASE NUMBER: C25-00824

CASE NAME: SANDSTONE GROUP, LLC VS. RANDALL MILLER

***HEARING ON MOTION IN RE: LEAVE TO FILE 2ND AMENDED COMPLAINT**

FILED BY: SANDSTONE GROUP, LLC

TENTATIVE RULING:

Sandstone's Motion for Leave to File Second Amended Complaint is **granted**.

Sandstone shall file and serve its Second Amended Complaint within 15 days of this ruling, and Defendants shall file their responsive pleadings within the time prescribed by law.

Background

This is an action for breach of a commercial loan guaranty and related claims for fraudulent transfer, fraudulent concealment, and conspiracy. Plaintiff Sandstone Group, LLC ("Sandstone") is the creditor on the underlying loan obligation. The originally named defendants were RAD Urban, Inc. ("RAD Urban") and Randall Miller, who personally guaranteed RAD Urban's obligation to Sandstone.

Sandstone alleges that RAD Urban issued a note that became due on March 31, 2020, and that Randall Miller personally guaranteed that obligation. Sandstone alleges that, rather than satisfy the guaranty when the obligation matured, Mr. Miller and others engaged in a coordinated series of transactions to place his assets beyond the reach of creditors.

The transfers in this case begin with a residential property at 63 Moraga Via in Orinda, California. Sandstone alleges that in May 2020 the Millers created the 63 Holdings Trust, naming Robert Miller as trustee, and transferred 63 Moraga Via into that trust. In April 2021, the trust conveyed the property to third parties. Sandstone alleges (or proposes to allege) that the sale proceeds were used in June 2021 to purchase an Orinda lot, which was subsequently subdivided. One half of the lot was sold, with proceeds allegedly deposited into a bank account belonging to 63 Realty Holdings, LLC; the other half (8 Patrick Lane) is alleged to be the site of the Millers' current residence. Sandstone further contends that the Millers established a spendthrift trust in Nevada (the RA Miller Capital Holdings Trust) to hold additional assets while the Millers retained control over them. Sandstone further contends that the Millers have been receiving funds from R2 Building ("R2 Building"), which shares a principal place of business and key personnel with the now-defunct RAD Urban.

Sandstone's original complaint filed on March 24, 2025 named Randall Miller and RAD Urban as defendants, as well as Doe defendants on the fraudulent transfer claims. On April 18, 2025, Sandstone filed the FAC adding Randall Miller's brother, Robert Miller (individually and in his capacity as trustee